ABC News, 26 Oct; Reuters, 19 Oct 2026
News summary · 27 October 2026

Challenger rejects takeover bid from Japanese-owned insurer

> The board of annuities provider Challenger has rejected an $11.80-a-share offer from TAL Dai-ichi, owned by Japan's Dai-ichi Life, but is still talking with the bidder. It is a live example of foreign direct investment into Australia.

WHAT HAPPENED

- TAL Dai-ichi, owned by Japan's **Dai-ichi Life**, offered **$11.80 a share**, a 19.8% premium to Challenger's previous closing price.
- Reuters valued the bid at about **$7.9b** and the ABC at about **$8.4b**. The figures differ, probably because they are based on different share counts.
- Dai-ichi **already owns about 20%** of Challenger, having first bought a 15.1% stake in 2025.
- Challenger's board **rejected the offer as too low** but said it would keep talking with the bidder. Analysts expect a higher offer.
- Challenger's assets under management rose 5% to $31.9b in the September quarter, helped by strong annuity sales.

Foreign direct investment (FDI): investment that gives a foreign owner 10% or more and a lasting say in a business

Primary income: the BOP item that records flows of profits, dividends and interest

KEY NUMBERS

$11.80 offer per share	**19.8%** premium to previous close
~20% stake Dai-ichi already holds	**$7.9–8.4b** value of the bid (Reuters / ABC)

FLOW CHART — How the takeover would show up in Australia's balance of payments

Japanese buyer purchases Challenger shares → Financial account: FDI inflow (credit) → Challenger earns profits in Australia → Dividends paid to Japan → **Primary income debit, so the CAD widens over time**

Possible benefits

- Capital inflow funds investment without Australia needing to save more
- Access to the overseas parent's expertise and global networks
- A strong buyer for the 19.8% premium paid to existing shareholders

Possible costs

- Future profits flow overseas, adding to primary income debits
- Decisions are made offshore, and Australian jobs could move
- Foreign ownership of a key retirement-income provider raises national interest questions (FIRB)

Exam angle: FDI is **foreign equity, not foreign debt**. It adds to Australia's net foreign liabilities but does not have to be repaid. The cost to Australia shows up later in the current account as dividends sent offshore.

SYLLABUS LINK

Topic 2 – Australia's financial flows: FDI and the financial account; foreign ownership; links between capital inflows and primary income debits in the current account.

TRY THIS

1. Explain how a completed takeover would affect Australia's financial account now and its current account in later years. **(4 marks)**
2. Discuss one benefit and one cost of foreign ownership of Australian financial companies. **(4 marks)**

Sources:
1. ABC News – Markets blog, 26 Oct 2026 – https://www.abc.net.au/news/2026-10-26/asx-markets-business-live-news-october-26/107306820
2. Reuters (via WHBL) – Challenger gets takeover bid – https://whbl.com/2026/10/18/australias-challenger-gets-takeover-bid-from-unit-of-japans-daiichi-life/

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.